

> "The breakout year for the aviation industry will be 2025, when NCR's second airport at Jewar, Mumbai's second airport at Navi Mumbai and other capex projects in all the major airports...all of them are going to come upstream. So, the summer of 2025 will be a fantastic one"
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> **AMBER DUBEY**
> Senior Advisor,
> McKinsey & Company

AVIATION PROMISES & AIR POCKETS

CHARTING A NEW FLIGHT PLAN

India needs to resolve the structural challenges that confront the aviation industry to make the best of the ever-widening opportunities

With domestic air traffic rising 10 per cent in October compared to last year, India is flying again. Though the airline industry has recovered well from the pandemic, it battles high fuel costs, with precarious financials plaguing a few airlines. **Amber Dubey**, senior advisor, McKinsey & Company, and **Kapil Kaul**, CEO and director, CAPA India, discussed the industry's future course.

IN A ROBUST STATE

Dubey: Pre-Covid, the airlines industry used to carry around 140 million passengers a year. In 2023, for the first time, it is likely to cross the 150 million mark. Next year will be the upsurge year and 2025 the breakout year.

AIRLINES IN TROUBLE

Dubey: As the turbulence faced by Jet Airways, Go Air and Akasa Air shows, the sector faces structural challenges, with the highest cost structure along with one of the lowest fares in the world. The next one or 10 million passengers will come from middle income segments. So, the paying capacity is limited, whereas cost keeps going up. Aviation fuel is 35-40 per cent of the cost structure. Around 18 or 20 states have reduced tax on aviation fuel to below 5 per cent, but some big states continue to be in the 20-plus range. Constrained airport capacity is an problem, though that's getting resolved. MRO—maintenance, repair & overhaul—presents a challenge as most of aircraft go out for repairs. Shortage of pilots is a big issue. India needs more flying schools.

Kaul: Future growth in the industry, especially domestic air travel, will be driven by low-cost airlines. Air India's acquisition by Tata is a game-changer.

POLICY ON DRONES

Dubey: Drones are the future of aviation. It has huge impact at the grassroots level, too–agriculture, road, railways, power and telecom etc. The government's Drone Rules 2021 is in favour of growth, while keeping an eye on safety and security. The Centre's Production Linked Incentive scheme, the drone certification scheme and the import ban on foreign drones will give a fillip to the domestic drone industry. There is need for a design- or research-linked incentive. Unless Indian firms own the IP [intellectual property], they will remain assemblers of foreign-made drones.